

Barclays Bank of Kenya Limited
Legal & Secretarial Services
The West End Building, Waiyaki Way
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Nairobi – Kenya

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12th August 2014

Mr. Peter Mwangi
Chief Executive Officer
Nairobi Securities Exchange
55, Westlands Road
NAIROBI



Our Ref: BBK/LSS/Communication with Regulators/Vol.3

Dear Sir,

RE: NEW BOARD APPOINTMENTS AND FINANCIAL RESULTS FOR THE HALF YEAR ENDED 30 JUNE 2014

The Board of Barclays Bank of Kenya wishes to inform you that at its meeting held on 11th August 2014 the Board appointed Dr. Laila Macharia, Winnie Ouko and Norah Odwesso as Non-Executive Directors. Kindly update your records accordingly.

The Board also approved the financial results of the Bank for the half year ended 30th June 2014. The results as released to investors and the media this morning are enclosed for your record and will be published in the dailies tomorrow.

Yours faithfully,

Judy Nyaga
Company Secretary

Attention Business Editors

For immediate release

BARCLAYS BANK REPORTS 13% GROWTH IN H1 PROFIT

12th August 2014: Barclays Bank of Kenya has today announced a profit after tax of KES 4.2 Bn in H1 profits for the period ending June 30th which represents a 14% growth compared to the same period last year. The result is largely attributable to a 20% growth in customer loans which rose from KES 107 Billion to KES 128 Bn.

Speaking when making the announcement, Barclays Bank of Kenya Managing Director, Mr. Jeremy Awori said, "The banking industry is currently undergoing unprecedented disruption resultant from a highly dynamic market environment. We have therefore amplified our innovations agenda and augmented it with game changing products and services such as the Salary Retrenchment Cover and the Zidisha Bonus Savings account in order to maintain our competitive edge," he noted.

He added that, "We are implementing a three year strategy whose goal is to make Barclays one of the top 3 banks in Kenya in revenues. To achieve this, we are refocusing our efforts on key transformational projects such as the recently concluded Eurobond in order to sustain a good performance."

"Additionally, we have set up an Investment Banking arm which will allow us to diversify into transactional services such as debt and equity capital markets as well as mergers and acquisitions," he added.

He further revealed that the bank is planning to set to up a Mortgage Centre as well as an Asset Finance Centre of Excellence to enable the bank to effectively meet growing demand in these two lines of business. With the launch of the Asset Finance platform for example, Barclays envisions that it will be able to grow its market share in this line of business.

Highlights of the Financial Results include:

- Total assets rose by 15% to KES 213bn (2013: 186bn)
- Net interest income grew by 5% to KES 9.7bn (2013: KES 9.2bn) on the strength of growth in interest earning assets
- 7% growth in customer deposits to KES 148bn (2013: KES 139bn)
- Adequate Core Capital ratios at 15.4% against a regulatory limit of 10.5%
- Total Capital ratios at 15.7% against regulatory limit of 14.5%

Income

Net interest income increased by 5% to KES 9.7 billion, up from KES 9.2 billion in the same period last year. This was on the back of growth in interest earning assets despite the pressure of declining interest rates.

Non-Interest Income dropped by 5% to KES 4.2 billion compared to the same period in 2013. This was mainly attributed to reduced foreign exchange income following a stable currency market in the year and mark to market (revaluation) loss in the bank's visa share holdings.

Capital

The total capital to risk weighted assets for the bank as at end of H1 was 15.7% against a regulatory limit of 14.5%. Whereas the total capital ratio is sufficient to support business growth in the medium term, the bank will be looking to raise tier II capital to ensure that we have the right balance between tier I and tier II.

Asset Quality

Non-performing loans increased to KES 4.2 billion which is way below the 20% growth in loans and advances. The loan loss provision of KES 720M is only 1% of total lending. This is a reflection of the quality of assets maintained by the Bank.

Liquidity

Liquidity ratios are strong at 34% compared to the regulatory minimum of 20%. This solid position provides the bank with a strong base to meet customers' needs in the second half of the year and beyond.

Interim Dividend

The Board is not recommending the payment of an interim dividend in view of the new Central Bank of Kenya capital requirements which, though effective in January 2015, the bank has early adopted. The retained capital will also support the current asset pipeline as the bank plans to raise Tier II capital in the second half of the year. Full year dividend payout ratio is not expected to change.

Conclusion

Going into the second half of the financial year, the Bank is focusing on growing assets and liabilities, entrenching a customer centric strategy and increasing its visibility in order to gain a competitive advantage.

About Barclays

Barclays is a major global financial services provider engaged in personal banking, credit cards, corporate and investment banking and wealth and investment management with an extensive international presence in Europe, the Americas, Africa and Asia. Barclays' purpose is to help people achieve their ambitions – in the right way

With over 300 years of history and expertise in banking, Barclays operates in over 50 countries and employs approximately 140,000 people. Barclays moves, lends, invests and protects money for customers and clients worldwide.

For further press information, please contact:-

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Senior Communications Manager

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The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 30 June 2014
BARCLAYS BANK OF KENYA LIMITED
FINANCIAL STATEMENTS

GROUP				
	June 2013 Shs '000 Unaudited	December 2013 Shs '000 Audited	March 2014 Shs '000 Unaudited	June 2014 Shs '000 Unaudited
I STATEMENT OF FINANCIAL POSITION				
A ASSETS				
1 Cash balances (both local and foreign)	5,273,812	6,294,488	5,971,662	6,387,349
2 Balances due from Central Bank of Kenya	8,708,380	10,613,198	10,508,921	11,645,289
3 Kenya Government and other securities held for dealing purposes	1,930,820	814,510	538,728	2,118,358
4 Financial Assets at fair value through profit and loss	979,113	1,173,181	1,132,889	1,134,033
a) Investment Securities:	-	-	-	-
Held to Maturity:	-	-	-	-
a. Kenya Government securities	-	-	-	-
b. Other securities	-	-	-	-
b) Available for sale:	42,978,449	47,558,631	49,329,093	45,466,977
a. Kenya Government securities	42,978,449	47,558,631	49,329,093	45,466,977
b. Other securities	-	-	-	-
6 Deposits and balances due from local banking institutions	3,850,000	1,250,000	-	-
7 Deposits and balances due from banking institutions abroad	343,394	136,078	177,236	360,066
8 Tax recoverable	511,506	1,024,572	78,460	1,135,579
9 Loans and advances to customers (net)	107,050,039	118,361,911	116,775,176	128,446,955
10 Balances due from banking institutions in the group	3,180,426	9,129,060	5,235,716	5,682,803
11 Investment in Associates	-	-	-	-
12 Investment in Subsidiary Companies	-	-	-	-
13 Investment in joint Ventures	-	-	-	-
14 Investment properties	-	-	-	-
15 Property and equipment	2,635,238	2,785,818	2,789,600	2,836,570
16 Prepaid Operating Rental Leases	58,239	57,989	57,734	57,684
17 Intangible assets	3,164,517	2,858,865	2,766,042	2,610,184
18 Deferred Tax	-	-	-	-
19 Retirement Benefit Asset	-	-	-	-
20 Other assets	4,898,397	4,678,631	5,340,580	5,285,141
21 TOTAL ASSET	185,562,330	206,736,932	200,701,837	213,166,988
B LIABILITIES				
22 Balances due to Central Bank	-	-	-	-
23 Customers' deposits	138,684,868	151,121,844	144,330,218	148,177,399
24 Deposits and balances due to Banking Institutions (Local)	-	4,495,400	2,679,950	7,241,140
25 Deposits and balances due to Banking Institutions (Foreign)	186,054	242,916	98,798	94,807
26 Other money market deposits	-	-	-	-
27 Borrowed Funds	-	-	-	-
28 Balances due to banking institutions in the group	2,497,179	8,759,890	8,882,949	12,852,381
29 Tax payable	-	-	-	-
30 Dividends payable	2,344,114	-	-	-
31 Deferred tax liability	407,328	154,152	170,327	205,637
32 Retirement Benefit Liability	545,728	125,463	89,428	37,385
33 Other liabilities	10,709,757	9,466,381	9,984,588	10,611,123
34 TOTAL LIABILITIES	155,375,028	174,366,046	166,236,257	179,219,872
C SHAREHOLDERS' FUNDS				
35 Paid up / Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium / (discount)	-	-	-	-
37 Revaluation reserves	366,885	(400,779)	(247,435)	(342,075)
38 Retained earnings / (Accumulated losses)	25,947,791	26,366,725	28,440,639	31,184,103
39 Statutory loan loss reserve	1,156,858	973,404	840,608	389,321
40 Other reserves	-	-	-	-
41 Proposed dividend	-	2,715,768	2,715,768	-
42 Capital Grants	-	-	-	-
43 TOTAL SHAREHOLDERS' FUND	30,187,302	32,370,886	34,465,348	33,947,117
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUND	185,562,330	206,736,932	200,701,605	213,166,989

	June 2013 Shs '000 Unaudited	December 2013 Shs '000 Audited	March 2014 Shs '000 Unaudited	June 2014 Shs '000 Unaudited
II STATEMENT OF COMPREHENSIVE INCOME				
1 INTEREST INCOME				
1.1 Loans and advances to customers	7,292,516	14,850,421	3,780,397	7,918,183
1.2 Government securities	2,289,485	4,727,962	1,200,692	2,347,558
1.3 Deposits and placements with banking institutions	127,291	272,510	46,376	56,885
1.4 Other interest income	747,853	1,445,724	414,152	774,801
1.5 Total interest income	10,457,145	21,296,617	5,441,617	11,097,427
2 INTEREST EXPENSES				
2.1 Customer deposits	1,044,877	2,037,176	590,331	1,182,328
2.2 Deposits and placements with banking institutions	30,034	97,441	11,194	67,930
2.3 Other interest expenses	150,869	303,004	78,722	156,850
2.4 Total interest expenses	1,225,780	2,437,621	680,247	1,407,108
3 NET INTEREST INCOME	9,231,365	18,858,996	4,761,370	9,690,319
4 NON - OPERATING INCOME				
4.1 Fees and commissions income on loans & Advances	928,717	1,682,295	418,167	792,358
4.2 Other fees and commissions	2,377,523	4,838,761	1,232,889	2,407,628
4.3 Foreign exchange trading income	968,841	2,084,157	451,685	1,054,765
4.4 Dividend income	-	-	-	-
4.5 Other income	216,825	457,730	7,366	5,490
4.6 Total non-interest income	4,491,906	9,062,943	2,110,107	4,260,241
5 Total Operating Income	13,723,271	27,921,939	6,871,477	13,950,560
6 OPERATING EXPENSES				
6.1 Loan loss provision	581,154	1,222,900	400,909	720,031
6.2 Staff costs	3,846,224	8,114,254	2,002,139	3,909,648
6.3 Directors emoluments	7,590	15,236	2,675	6,035
6.4 Rental charge	518,000	1,060,641	265,003	532,033
6.5 Depreciation on property and equipment	282,423	537,379	134,022	260,099
6.6 Amortisation charges	305,095	610,747	153,879	292,260
6.7 Other operating expenses	1,919,776	4,439,343	1,074,935	2,118,616
7 Total operating expenses	7,460,262	16,000,500	4,033,562	7,838,722
8 Profit before tax and exceptional items	6,263,009	11,921,439	2,837,915	6,111,838
9 Exceptional items	788,259	788,261	-	-
10 Profit after exceptional items	5,474,750	11,133,178	2,837,915	6,111,838
11 Current tax	(1,804,773)	(3,496,005)	(946,112)	(1,852,218)
12 Deferred tax	62,292	(14,531)	49,544	(26,326)
13 Profit after tax and exceptional items	3,732,269	7,622,642	1,941,347	4,233,294
13 OTHER COMPREHENSIVE INCOME				
13.1 Gains/(Losses) from translating the financial statements of foreign operations	2%	-	-	-
13.2 Fair value changes in available for sale financial assets	819,510	(278,256)	219,062	83,862
13.3 Revaluation surplus on Property, plant and equipment	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(245,853)	83,477	(65,719)	(25,159)
13.6 Actuarial gains/losses on retirement benefit obligations	-	246,184	-	-
14 Other Comprehensive Income for the year net of tax	573,657	51,405	153,343	58,703
15 Total comprehensive income for the year	4,305,926	7,674,047	2,094,690	4,291,997

Earnings per Share (Shs)
Dividends per share (Shs)

0.69

1.40
0.70

0.36

0.78

III OTHER DISCLOSURES

1) Non-performing loans and advances

- a) Gross non-performing loans and advances
b) Less: Interest in suspense

c) Total non performing loans and advances

- d) less: loan loss provisions

- e) Net non performing loans(c-d)

- f) Discounted value of securities

g) Net NPLs (Excess) / Exposure (e-f)

2) Insider loans and advances

- a) Directors ,shareholders and associates

- b) Employees

- c) Total insider loans and advances

3) Off Balance sheet items

- a) Letters of credit ,guarantees, acceptances

- b) Forwards, swaps and options

- c) Other contingent liabilities

Total Contingent liabilities

4) Capital Strength

- a) Core capital

- b) Minimum statutory capital

- c) Excess / (Deficiency)

- d) Supplementary capital

- e) Total capital

- f) Total risk weighted assets

- g) Core capital / total deposit liabilities

- h) Minimum statutory ratio

- i) Excess / (Deficiency)

- j) Core capital / total risk weighted assets

- k) Minimum statutory ratio

- l) Excess / (Deficiency)

- m) Total capital / total risk weighted assets

- n) Minimum statutory ratio

- o) Excess / (Deficiency)

5 Liquidity

- a) Liquidity ratio

- b) Minimum statutory ratio

- c) Excess / (Deficiency)

	June 2013 Shs '000 Unaudited	December 2013 Shs '000 Audited	March 2014 Shs '000 Unaudited	June 2014 Shs '000 Unaudited
1) Non-performing loans and advances				
a) Gross non-performing loans and advances	3,935,138	3,579,909	4,625,845	4,273,121
b) Less: Interest in suspense	-	-	-	-
c) Total non performing loans and advances	3,935,138	3,579,909	4,625,845	4,273,121
d) less: loan loss provisions	3,022,275	2,915,239	2,947,399	2,493,220
e) Net non performing loans(c-d)	912,863	664,670	1,678,446	1,779,901
f) Discounted value of securities	248,693	262,283	1,120,411	1,181,682
g) Net NPLs (Excess) / Exposure (e-f)	664,170	402,387	558,035	598,219
2) Insider loans and advances				
a) Directors ,shareholders and associates	71,421	42,589	46,779	46,740
b) Employees	8,773,857	9,153,999	9,270,624	9,408,383
c) Total insider loans and advances	8,845,278	9,196,588	9,317,402	9,455,123
3) Off Balance sheet items				
a) Letters of credit ,guarantees, acceptances	30,980,509	35,798,609	31,140,318	30,900,501
b) Forwards, swaps and options	4,513,517	8,876,475	5,401,953	3,719,228
c) Other contingent liabilities	3,613,550	3,226,200	4,301,950	4,276,800
Total Contingent liabilities	39,107,576	47,901,284	40,844,221	38,896,529
4) Capital Strength				
a) Core capital	26,797,424	31,798,261	30,185,733	31,783,223
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess / (Deficiency)	25,797,424	30,798,261	29,185,733	30,783,223
d) Supplementary capital	2,156,369	1,373,733	1,240,936	789,650
e) Total capital	28,953,793	33,171,994	31,426,669	32,572,873
f) Total risk weighted assets	181,109,177	191,652,230	189,190,905	207,377,672
g) Core capital / total deposit liabilities	19.5%	21.0%	20.9%	21.4%
h) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
i) Excess / (Deficiency)	9.0%	10.5%	10.4%	10.9%
j) Core capital / total risk weighted assets	14.8%	16.6%	16.0%	15.3%
k) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
l) Excess / (Deficiency)	4.3%	6.1%	5.5%	4.8%
m) Total capital / total risk weighted assets	16.0%	17.3%	16.6%	15.7%
n) Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%
o) Excess / (Deficiency)	1.5%	2.8%	2.1%	1.2%
5 Liquidity				
a) Liquidity ratio	44.9%	42.0%	41.6%	34.0%
b) Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c) Excess / (Deficiency)	24.9%	22.0%	21.6%	14.0%

Message from the Directors:

These financial statement are extracts from the books of the institution.The complete quarterly financial statements,statutory and qualitative disclosures can be assessed on the institutions website www.barclays.co.ke.They may also be accessed at the institutions head office at The Westend Building,Waiyaki way.

They were approved by the board on 11th August and signed on its behalf by:

Chairman
Francis Okello

MD
Jeremy Awori